members. Inadequate professionalism in management in many of the co-operative institutions has led to poor services and low productivity. Co-operatives need to run on well-established democratic principles and elections held on time and in a free and fair manner. Therefore, there was a need to initiate fundamental reforms to revitalise these institutions in order to ensure their contribution to the economic development of the country and serve the interests of members and public at large and also to ensure their autonomy, democratic functioning and professional management.

2. The "co-operative societies" is a subject enumerated in Entry 32 of the state list of the Seventh Schedule of the Constitution and the state legislatures have accordingly enacted legislations on co-operative societies. Within the framework of State Acts, growth of co-operatives on large scale was envisaged as part of the efforts for securing social and economic justice and equitable distribution of the fruits of development. It has, however, been experienced that in spite of considerable expansion of co-operatives, their performance in qualitative terms has not been up to the desired level. Considering the need for reforms in the *Co-operative Societies Acts* of the States, consultations with the State Governments have been held at several occasions and in the conferences of state co-operative ministers. A strong need has been felt for amending the Constitution so as to keep the co-operatives free from unnecessary outside interferences and also to ensure their autonomous organisational set up and their democratic functioning.

3. The Central Government was committed to ensure that the co-operative societies in the country function in a democratic, professional, autonomous and economically sound manner. With a view to bring the necessary reforms, it was proposed to incorporate a new part in the Constitution so as to provide for certain provisions covering the vital aspects of working of co-operative societies like democratic, autonomous and professional functioning. It was expected that these provisions will not only ensure the autonomous and democratic functioning of co-operatives, but also ensure the accountability of management to the members and other stakeholders and shall provide for deterrence for violation of the provisions of the law.

CONSTITUTIONAL VALIDITY OF 97TH AMENDMENT

In *Rajendra Shah* case[8] (2013), the Gujarat High Court declared that the 97th Constitutional Amendment Act (2011) inserting Part IX-B is ultra vires the Constitution of India for want of the requisite ratification by the states under Article 368. Further, the court also held that this judgement will not impact amendment made in Article 19(1)(c) (fundamental right to form the co-operative societies) and the insertion of Article 43-B (directive principle on promotion of co-operative societies) in the Constitution of India.

On an appeal made by the Union of India against the above judgement, the Supreme Court (in 2021[9]) upheld the judgement of the Gujarat High Court except to the extent that it strikes down the entirety of Part IX-B of the Constitution of India. Further, the Supreme Court also declared that Part IX-B of the Constitution of India is operative only in so far as it concerns multi-state co-operative societies both within the various states and in the union territories.

Table 73.1 Articles Related to Co-operative Societies at a Glance